FOR THE PERSON PLAYING THE INTERVIEWER

You don't need to know anything about consulting.

This binder gives you everything a real interviewer has: what to say, what information to hand over and when, what a good answer sounds like, and how to score it. Your partner does the thinking. You hold the facts and keep the clock.

What a case interview is, in 30 seconds

Consulting firms test candidates with a short business puzzle, called a **case**. You read out a client's problem, for example "a hot dog stand is losing money, why?". The candidate has to ask good questions, organize the problem, do some math out loud, and end with a clear recommendation. It's a test of **how they think**, not of business trivia.

Your job, in one line each

- **Read** the blue *Say* lines out loud, word for word if you like.
- **Answer** questions using the *If they ask* tables. Anything not on the list: "Not important for this case, make an assumption."
- **Hold back** the yellow *Give* boxes until the moment described. Never volunteer data early.
- **Tick** the *Listen for* boxes as you hear them. That is your evidence for scoring.
- **Never show** the green *Answer key*. It's for you to check the candidate's numbers.
- **Score** at the end with the rubric, then give feedback: 2 strengths, 2 things to fix.

The colors in every case

SAY

Words you read out loud.

GIVE ONLY WHEN…

Data you hand over (read it, or show this box) only when the trigger happens.

ANSWER KEY, DON'T SHOW

The right numbers and what a strong answer contains.

IF THEY'RE STUCK

Hints in order. Give one, wait 30 seconds, then the next.

HOW TO STEER

What the casebook says to do at this point, e.g. "after their framework, tell them the problem is only internal." Follow it so the case goes where it should.

FULL LIST · ASK IF THIN · IF THEY SAY…

A complete checklist to tick (so you see exactly what they missed), follow-up questions to dig deeper when an answer is short, and replies to common mistakes. Use probes before hints: probes make them think, hints give the answer away.

ADDED PARTLY ADDED mark steps, data and answers that go beyond the book. A line under the step says exactly what was added.

Before you start (2 minutes)

- [ ] Pick a case you haven't read with them. Start with an **Easy** one.
- [ ] Read the case once to yourself, start to finish (about 5 minutes).
- [ ] Give the candidate paper, a pen and a calculator-free zone (no phone calculator; real interviews don't allow one).
- [ ] Sit across a table. Start a timer. Aim for 20–25 minutes per case.
- [ ] Keep a straight, friendly face. Real interviewers don't react much.

THE SIX STAGES

Every case follows the same shape

Each case script below walks you through these stages. Knowing the shape helps you notice when the candidate skips one.

1 **You read the prompt**

Read slowly. A good candidate writes it down and then repeats it back in their own words. If they don't, tick it as missed.

2 **They ask clarifying questions**

Usually 2–4 questions: about the goal, the client, the market. Answer from the *If they ask* table. More than ~6 questions is too many.

3 **They build a framework**

They'll ask for a minute or two of silence. Say "Sure, take your time." Then they explain how they'll break the problem into parts (for example "revenue" and "costs"). Compare with the Answer key.

4 **Analysis and math**

They ask for data, or estimate it themselves. You give the yellow boxes. They calculate out loud. You check against the Answer key.

5 **Insight: "so what?"**

After each number, a strong candidate says what it means for the client. If they don't, ask: "What does that mean for the client?"

6 **Recommendation**

You say the closing line. They should give the answer **first**, then 2–3 reasons, then risks and next steps. Under a minute.

Timing guide for a 25-minute case

Stage	Target	If it runs long
Prompt + questions	2–3 min	"Let's get going. What's your approach?"
Framework	2–4 min	"Which part would you look at first?"
Analysis and math	10–15 min	Give the next hint from the script.

Recommendation	1–2 min	"In one sentence: yes or no?"
Your feedback	5 min	Rubric + 2 strengths, 2 fixes.

Golden rules

1. Make them ask

Data comes out only when they ask for it, or when the script says "give if their estimate is way off". Asking for the right data is part of the test.

2. Let them estimate first

Many cases are **candidate-led**: they should make up reasonable numbers first. Only give the real number if theirs is far off (each script says what "far off" means), or if they ask directly.

3. Don't confirm too fast

When they get a number right, say "Okay, keep going." When it's wrong, say "Can you double-check that?" Never tell them the right number until they've tried twice.

4. Silence is fine

When they ask for time, give it: real interviewers wait. Only speak up after about 60 seconds of total silence.

5. Push back once

Once per case, ask "Why?" or "Are you sure?" even when they're right. It tests whether they stay calm and can defend their logic.

6. Hints in order

If they're stuck, use the red hint boxes one at a time. Every hint you give costs a point on "Drive" in the rubric. Note how many you gave.

Phrase bank

They ask for time to think	"Sure, take a minute."
They ask something not in your script	"Good question, but it's not important here. Make a reasonable assumption."
They ask "Is that right?"	"What do you think?" or "Walk me through how you got there."
They're silent for a long time	"Can you walk me through what you're thinking?"
They ramble or go off-track	"Let's focus. What do you need to answer the client's question?"

They finish a calculation and stop	"So what does that mean for the client?"
They made a math mistake	"Can you double-check that last step?"
They ask you to just give the number	"What would you estimate?" (Give it if the script says so.)
Time is running out	"The CEO just walked in. What's your recommendation?"

USE THIS FOR EVERY CASE

Scoring rubric

Score each area from 1 to 5. A 3 means "would probably pass at a first-round interview". Use the ticks from the case script as evidence. Be honest: a generous score doesn't help them.

Area	1–2: Weak	3: Pass	4–5: Strong
Structure	Jumps into numbers with no plan. Framework is a generic list or misses big pieces.	Clear framework with 2–4 parts that fit the case. Some overlap or gaps.	Framework is tailored to this client, has no overlaps or gaps, and is explained in under 2 minutes. Says which part to look at first and why.
Math	Wrong answers, messy, silent working, or needs a calculator.	Correct with maybe one slip they fix themselves. Talks through steps.	Fast, correct, clean units (per day, per year, $M). Rounds sensibly and announces each step out loud.
Business sense	Reports numbers without meaning. Misses the key insight even after hints.	Explains what numbers mean when asked. Finds the insight with one hint.	Says "so what" on their own, sanity-checks results ("that seems high because..."), spots the key insight unprompted.
Communication	Hard to follow, rambles, recommendation is vague or missing.	Clear enough. Recommendation exists but is buried or long.	Answer-first, organized ("three reasons: first..."), confident, under a minute to close.
Drive	Waits for you to lead. Needed 3+ hints.	Mostly leads. Needed 1–2 hints.	Leads the whole case, asks for the right data at the right time, suggests next steps. No hints needed.

Reading the total (out of 25)

- **21–25**: Offer-level. Move to harder cases.
- **16–20**: Solid. Fix the lowest area.
- **11–15**: Getting there. Redo this case type in a few days.

- **5–10**: Practice the basics: frameworks and mental math.

How to give feedback (5 minutes)

1. Ask them first: "How do you think that went?"
2. Share **2 things they did well**, with specific moments ("you spotted that shoes earned $10M at the old price").
3. Share **2 things to fix**, again specific ("you didn't say what the $7.28B meant for the deal").
4. Read them the total score and their lowest area.

PLAIN-ENGLISH GLOSSARY

Words the candidate will use

You don't need to use these. It just helps to know what they mean when you hear them.

Framework / structure	Their plan for breaking the problem into parts.
MECE	"Mutually exclusive, collectively exhaustive": parts that don't overlap and together cover everything. Interviewers love it.
Revenue	Money coming in. Usually price × quantity sold.
Costs: fixed vs. variable	Fixed costs don't change with sales (rent). Variable costs grow with each unit sold (food in each hot dog).
Profit	Revenue minus costs.
Profit margin	Profit as a % of revenue. $10 profit on $100 revenue = 10% margin.
COGS	"Cost of goods sold": what it costs to make the product itself.
Payback period	Years needed to earn back an investment. Investment ÷ yearly profit.
Breakeven	The point where revenue exactly covers costs (profit = 0).
Market sizing	Estimating how big a market is, e.g. "how much is spent on diapers per year".
Market share	The % of a market one company holds.
Market entry	A case about whether a company should start selling in a new market.
Barriers to entry	Things that make it hard to enter a market: licenses, laws, big competitors.

Cross-selling	Selling a second product to an existing customer.
Sanity check	Asking "does this number make sense?" before moving on.
Price elasticity	How much customers buy less when the price goes up.
"So what?"	What a number means for the client's decision.

PICK ONE

The cases

Start with an Easy case. Read the script once on your own before you begin. Each takes 15–25 minutes plus 5 minutes of feedback.

Beer Co. Enters Wine

Market entry · Easy · ~25 min

Clothes Woes

Profitability · Easy · ~25 min

Bank Co. Buys Nigeria Card

Acquisition · Medium · ~25 min

Pharma Co. Pricing

Pricing · Medium · ~25 min

Diamond Co. Margins

Profitability · Medium · ~25 min

CASE 1 OF 5

Beer Co. Enters Wine

Market entry | Easy | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A US beer company with falling sales is thinking about getting into wine. The candidate sizes the wine market, judges the competition and synergies, then tests whether building or buying a winery pays back within the client's 6-year limit.

THE ANSWER IN ONE LINE, DON'T SHOW

Wine (~$60B, growing) is bigger than beer ($40B, shrinking), but the top 3 hold 80% and beer gives few production synergies. Building pays back in **~8.6 years** and buying a winery in **~14**, both beyond the **6-year** goal. Recommend **not entering now**; consider distributing a partner's wine through Beer Co.'s bar and restaurant channels.

1 Read the prompt PARTLY ADDED

2–3 min

Beyond the book: 'Over the past two years' is added.

SAY

"Our client is Beer Co., a US brewer. They make, distribute and sell over a hundred beers (lagers, pilsners, ales and stouts) to restaurants, bars, wholesalers and directly to consumers."

"Over the past two years, revenue has declined across most of their beers. The VP of Business Strategy is considering entering the wine market to get revenue and profit growing again. Should Beer Co. enter the wine market?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Why is beer revenue falling? ADDED	"Drinkers are shifting toward craft beers, hard seltzers and wine. Beer Co.'s core brands are mass-market lagers."
What's the goal? Any target? ADDED	"Management wants any new venture to pay back its investment within 6 years."
How much can they invest? ADDED	"Up to $3 billion."
Do they have any wine experience? ADDED	"None."
US only?	"Yes, the US only."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Asks why beer is declining before jumping to wine
- [ ] Finds the 6-year payback goal
- [ ] Asks about wine experience

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To make sure I understand**: Beer Co. is a large US brewer selling through bars, restaurants, wholesalers and direct. Revenue has declined across most beers, and they're **considering entering wine to restore growth**. A few questions: why is beer declining? Is there a financial goal for a new venture? How much can they invest? And do they have any wine experience?

2 Framework

2–3 min

SAY

"How would you approach this?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Market attractiveness: size, growth, margins, compared with beer
- [ ] Competitive landscape: concentration, barriers to entry
- [ ] Beer Co.'s capabilities and synergies (production, customers, distribution)
- [ ] Financials: cost to enter, payback against 6 years, build vs. buy

ANSWER KEY, DON'T SHOW

Four buckets: wine market attractiveness / competitive landscape / Beer Co.'s capabilities and synergies / financials of entry. Each with 2–3 sub-bullets tied to the 6-year goal.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What would you need to believe for wine to be a good move?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To decide whether to enter wine, I'd look at four areas.** First, **market attractiveness**: the size, growth and margins of wine compared with beer. Second, **the competitive landscape**: how concentrated the market is and what the barriers to entry are. Third, **Beer Co.'s capabilities**: what it can reuse from beer in production, customers and distribution. Fourth, **the financials**: the cost to enter, building versus buying, and payback against the 6-year goal. **Does that sound good?**

3 Size the wine market PARTLY ADDED

5 min

Beyond the book: The book's sample-answer assumptions are offered as data if asked.

SAY

"Let's start with the market. How big is the US wine market?"

GIVE ONLY WHEN: ONLY IF THEY ASK FOR DATA OR THEIR POPULATION IS FAR FROM ~320M. OTHERWISE LET THEM ESTIMATE EVERYTHING.

Exhibit 1. US population: about **320 million**, spread roughly evenly from age 0 to 80. Legal drinking age: 21.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Lays out steps before numbers: population → age groups → % who drink wine → bottles a year → price
- [ ] Excludes under-21s
- [ ] Explains each assumption (friends, family, own habits)
- [ ] Does the math out loud, ends around $40–90B

ANSWER KEY, DON'T SHOW

```
320M → four age groups of 80M
0–20: 0% | 20–40: 30% = 24M | 40–60: 30% = 24M | 60–80: 15% = 12M
60M wine drinkers × 50 bottles a year = 3B bottles
3B × $20 = $60B a year
```

The answer doesn't need to match: the approach and clean math are what count.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Who drinks wine?"
2. "How often does a typical wine drinker buy a bottle?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll go top-down.** 320 million people, in four age groups of 80 million. Under 20, nobody drinks legally. I'll assume 30% of 20 to 40 drink wine, so 24 million; 30% of 40 to 60, another 24 million; and 15% of 60 to 80, 12 million, since health concerns grow with age. **That's 60 million wine drinkers.** At about a bottle a week, call it 50 a year, that's 3 billion bottles. At $20 a bottle, **the market is about $60 billion a year**.

4 Is it attractive? PARTLY ADDED

3 min

Beyond the book: The $40B beer market is from the book; growth rates and margins are added.

SAY

"Here's the official data. Is wine an attractive market for Beer Co.?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. US beer vs. wine

	Beer	Wine
Market size	$40B	$60B
Growth per year	−2%	+4%
Average producer margin	10%	15%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Compares against beer, not in isolation
- [ ] Wine is bigger, growing, and more profitable
- [ ] Notes this explains why beer is shrinking: some drinkers are moving to wine

ANSWER KEY, DON'T SHOW

Yes on paper: 1.5× the size, growing while beer shrinks, higher margins.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **On paper, yes.** Wine is about 1.5 times the size of beer, $60 billion against $40 billion. It's growing about 4% a year while beer shrinks 2%. And producer margins are higher, 15% against 10%. **It also helps explain Beer Co.'s problem**: some drinkers are moving from beer to wine.

5 Competition

3 min

SAY

"The top three wine producers hold 80% of the market. What does that tell you, and what barriers would Beer Co. face?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Highly concentrated market means high barriers to entry
- [ ] Structures barriers, e.g. economic vs. non-economic
- [ ] Economic: capital, vineyard land, distribution, economies of scale
- [ ] Non-economic: brand, winemaking expertise, differentiation, years needed to age wine

ANSWER KEY, DON'T SHOW

Concentrated market → high barriers. A structured list (economic / non-economic) with 3+ items each is strong.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Three players with 80% means a concentrated market, which signals high barriers to entry.** I'd split them in two. **Economic barriers**: capital for equipment, suitable vineyard land, distribution, and scale advantages. **Non-economic barriers**: brand, winemaking expertise, differentiation, and the years it takes for wine to age.

6 Synergies PARTLY ADDED

3 min

Beyond the book: The book finds few synergies; the distribution-channel synergy is added.

SAY

"Let's look at Beer Co. itself. What synergies are there between making beer and making wine?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structures by area: production, customers, workforce, distribution
- [ ] Production: few (grapes vs. grains, different processes and equipment)
- [ ] Workforce: different skills
- [ ] Customers: some overlap
- [ ] Distribution: the real synergy, since bars, restaurants and wholesalers already buy from Beer Co.

ANSWER KEY, DON'T SHOW

Few production synergies, but distribution is a genuine one. Spotting it sets up a creative recommendation later.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Who does Beer Co. already sell to?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at synergies in four areas.** **Production**: few, because grapes and grains use different processes and equipment. **Workforce**: different skills. **Customers**: some overlap. **Distribution, though, is a real synergy**: Beer Co. already sells to the bars, restaurants and wholesalers that also buy wine.

7 Build it ourselves ADDED

4 min

SAY

"Suppose Beer Co. builds its own wine business. Here's the plan. Does it meet the 6-year goal?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Organic entry plan

- Buy vineyards and build a winery: **$500M**
- First wine sold after **3 years** (planting and aging)
- Expected share once selling: **1%** of the $60B market
- Producer margin: **15%**

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 1% × $60B = $600M revenue
- [ ] × 15% = $90M profit a year
- [ ] $500M ÷ $90M ≈ 5.6 years of profits
- [ ] + 3 years before any wine is sold ≈ 8.6 years: misses the goal

ANSWER KEY, DON'T SHOW

```
600M × 15% = 90M a year → 500 ÷ 90 ≈ 5.6 years
+ 3 years to first sale ≈ 8.6 years (goal: 6)
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "When does the winery start earning money?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> 1% of $60 billion is **$600 million of revenue**. At 15%, that's **$90 million of profit a year**. $500 million divided by $90 million is about 5.6 years of profit. **But no**

> **wine sells for the first three years**, so real payback is **about 8.6 years: beyond the 6-year goal.**

8 Or buy a winery ADDED

3 min

SAY

"Alternatively, a mid-sized winery is for sale. Would buying it work better?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 4. Acquisition target: Valley Winery

Market share	Revenue	Profit margin	Asking price
3%	$1.8B	12%	$3B

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] $1.8B × 12% = $216M profit a year
- [ ] $3B ÷ $216M ≈ 14 years: far beyond 6
- [ ] Notes the price would need to fall to ~$1.3B, or profit rise sharply, to work
- [ ] Uses the full $3B budget on one bet

ANSWER KEY, DON'T SHOW

```
1.8B × 12% = 216M → 3,000 ÷ 216 ≈ 13.9 years
For 6 years: price ≤ 216 × 6 ≈ $1.3B
```

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> $1.8 billion of revenue at 12% is **$216 million of profit a year**. $3 billion divided by $216 million is **about 14 years**, far beyond six. **To pay back in six years, the price would need to be about $1.3 billion**, so at $3 billion the winery is overpriced for our goal.

9 Recommendation PARTLY ADDED

1–2 min

Beyond the book: Not entering is the book's answer; the 6-year test and distribution-partnership idea are added.

SAY

"The VP just walked in and wants your recommendation."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: don't enter wine now
- [ ] Reason 1: concentrated market with high barriers (top 3 = 80%)
- [ ] Reason 2: building takes ~8.6 years and buying ~14, both beyond the 6-year goal
- [ ] Reason 3: few production synergies
- [ ] Next steps: a partnership to distribute an established wine brand through Beer Co.'s channels; tackle the beer decline directly (craft beer, seltzers)

ANSWER KEY, DON'T SHOW

"I recommend Beer Co. does not enter wine now, for three reasons. The market is concentrated, so winning share is hard. Neither route meets the 6-year goal: building takes about 8.6 years, buying about 14. And beer and wine share few production synergies. As next steps, I'd explore distributing a partner's wine through our bar and restaurant network, which uses our real strength at low cost, and look at craft and seltzer lines to address why beer is declining."

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend Beer Co. does not enter the wine market now, for three reasons.** One, it's concentrated, with the top three holding 80%, so winning share is hard. Two, **neither route meets the 6-year goal**: building pays back in about 8.6 years, buying in about 14. Three, beer and wine share few production synergies. **For next steps**, I'd explore distributing a partner's wine through our bar and restaurant network, which uses our one real synergy at low cost, and look at craft and seltzer lines to address the beer decline directly.

▼ Show the full sample interview

INTERVIEWER

"Our client is Beer Co., a US brewer. They make, distribute and sell over a hundred beers (lagers, pilsners, ales and stouts) to restaurants, bars, wholesalers and directly to consumers."

"Over the past two years, revenue has declined across most of their beers. The VP of Business Strategy is considering entering the wine market to get revenue and profit growing again. Should Beer Co. enter the wine market?"

> CANDIDATE
>
> **To make sure I understand**: Beer Co. is a large US brewer selling through bars, restaurants, wholesalers and direct. Revenue has declined across most beers, and they're **considering entering wine to restore growth**. A few questions: why is beer declining? Is there a financial goal for a new venture? How much can they invest? And do they have any wine experience?

INTERVIEWER · FRAMEWORK

"How would you approach this?"

> CANDIDATE
>
> **To decide whether to enter wine, I'd look at four areas.** First, **market attractiveness**: the size, growth and margins of wine compared with beer. Second, **the competitive landscape**: how concentrated the market is and what the barriers to entry are. Third, **Beer Co.'s capabilities**: what it can reuse from beer in production, customers and distribution. Fourth, **the financials**: the cost to enter, building versus buying, and payback against the 6-year goal. **Does that sound good?**

INTERVIEWER · SIZE THE WINE MARKET

"Let's start with the market. How big is the US wine market?"

Exhibit 1. US population: about **320 million**, spread roughly evenly from age 0 to 80. Legal drinking age: 21.

> CANDIDATE
>
> **I'll go top-down.** 320 million people, in four age groups of 80 million. Under 20, nobody drinks legally. I'll assume 30% of 20 to 40 drink wine, so 24 million; 30% of 40 to 60, another 24 million; and 15% of 60 to 80, 12 million, since health concerns grow with age. **That's 60 million wine drinkers.** At about a bottle a week, call it 50 a year, that's 3 billion bottles. At $20 a bottle, **the market is about $60 billion a year**.

INTERVIEWER · IS IT ATTRACTIVE?

"Here's the official data. Is wine an attractive market for Beer Co.?"

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	Beer	Wine
Market size	$40B	$60B
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CANDIDATE

On paper, yes. Wine is about 1.5 times the size of beer, $60 billion against $40 billion. It's growing about 4% a year while beer shrinks 2%. And producer margins are higher, 15% against 10%. **It also helps explain Beer Co.'s problem**: some drinkers are moving from beer to wine.

INTERVIEWER · COMPETITION

"The top three wine producers hold 80% of the market. What does that tell you, and what barriers would Beer Co. face?"

CANDIDATE

Three players with 80% means a concentrated market, which signals high barriers to entry. I'd split them in two. **Economic barriers**: capital for equipment, suitable vineyard land, distribution, and scale advantages. **Non-economic barriers**: brand, winemaking expertise, differentiation, and the years it takes for wine to age.

INTERVIEWER · SYNERGIES

"Let's look at Beer Co. itself. What synergies are there between making beer and making wine?"

CANDIDATE

I'd look at synergies in four areas. **Production**: few, because grapes and grains use different processes and equipment. **Workforce**: different skills. **Customers**: some overlap. **Distribution, though, is a real synergy**: Beer Co. already sells to the bars, restaurants and wholesalers that also buy wine.

INTERVIEWER · BUILD IT OURSELVES

"Suppose Beer Co. builds its own wine business. Here's the plan. Does it meet the 6-year goal?"

Exhibit 3. Organic entry plan

- Buy vineyards and build a winery: **$500M**
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CANDIDATE

1% of $60 billion is **$600 million of revenue**. At 15%, that's **$90 million of profit a year**. $500 million divided by $90 million is about 5.6 years of profit. **But no wine sells for the first three years**, so real payback is **about 8.6 years: beyond the 6-year goal.**

INTERVIEWER · OR BUY A WINERY

"Alternatively, a mid-sized winery is for sale. Would buying it work better?"

Exhibit 4. Acquisition target: Valley Winery

Market share	Revenue	Profit margin	Asking price
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CANDIDATE

$1.8 billion of revenue at 12% is **$216 million of profit a year**. $3 billion divided by $216 million is **about 14 years**, far beyond six. **To pay back in six years, the price would need to be about $1.3 billion**, so at $3 billion the winery is overpriced for our goal.

INTERVIEWER · RECOMMENDATION

"The VP just walked in and wants your recommendation."

CANDIDATE

I recommend Beer Co. does not enter the wine market now, for three reasons. One, it's concentrated, with the top three holding 80%, so winning share is hard. Two, **neither route meets the 6-year goal**: building pays back in about 8.6 years, buying in about 14. Three, beer and wine share few production synergies. **For next steps**, I'd explore distributing a partner's wine through our bar and restaurant network, which uses our one real synergy at low cost, and look at craft and seltzer lines to address the beer decline directly.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 2 OF 5

Clothes Woes

Profitability | Easy | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A clothing maker that sells only in mall stores saw profits fall from $67M to $55M. The candidate finds that shirts and shoes are the problem, connects shirts to online shopping and cotton costs, and evaluates a shoe partnership with a department store.

THE ANSWER IN ONE LINE, DON'T SHOW

Profit fell **$12M**: shirts −$9M (fewer sales, higher costs), shoes −$6M (price doubled, volume fell 80%). The department-store deal takes shoe profit to **$8.4M**, but simply going back to the old $50 price could earn ~$10M. Recommend fixing shirts, testing the old shoe price before signing, and adding online sales.

1 Read the prompt

2–3 min

SAY

"Our client is a clothing manufacturer that makes everyday wear for men and women. They sell only through their own stores in shopping malls around the world."

"A few years ago they were very profitable. Since then, profits have fallen significantly. What's causing the decline, and what should they do about it?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Profit or profit margin?	"Total profit in dollars. It went from $67M to $55M over three years."
What do they sell?	"Four product lines: jackets, shirts, pants and shoes."
Do they sell online? ADDED	"No, only in their own mall stores."
Are competitors affected? ADDED	"Several mall-based brands are struggling too. Online brands are growing."
What's the goal? ADDED	"Get profit back above $67M."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Clarifies profit vs. margin
- [ ] Asks about sales channels and spots there's no online store
- [ ] Asks whether competitors are affected

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play it back**: our client makes everyday clothing and sells only through its own mall stores worldwide. Profits have declined significantly over the past few years. **We need to find the cause and a fix.** First question: **is it profit in dollars or profit margin that fell?** And by how much? Do they sell online? And are competitors seeing the same thing?

2 Framework

2–3 min

SAY

"How would you structure this?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Financials: revenue (quantity, price) and costs (fixed, variable), by product line
- [ ] Customers: changing preferences, how they shop
- [ ] Competition: new entrants, what competitors do differently
- [ ] Market: overall trends, technology (online), regulation

ANSWER KEY, DON'T SHOW

Internal financials by product line plus external factors (customers, competitors, market). Strong candidates say they'd start by finding which product lines are losing money.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at this from four angles.** **Financials**: revenue, meaning quantity and price, and costs, fixed and variable, by product line. **Customers**: have preferences or shopping habits changed? **Competition**: new entrants, or competitors doing something different? **Market**: overall trends, like online shopping. **I'd start with the financials, to find which product lines are losing money.**

3 Which products?

5 min

SAY

"Let's look at the product lines. How much has profit dropped overall, and which lines are responsible?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 1. Product lines, three years ago vs. now

Product	Before			Now		
	Units sold	Price	Profit margin	Units sold	Price	Profit margin
Jackets	0.5M	$100	10%	1M	$100	5%
Shirts	5M	$10	50%	4M	$10	40%
Pants	3M	$30	30%	2.5M	$30	40%
Shoes	1M	$50	20%	0.2M	$100	20%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Profit = units × price × margin, per line
- [ ] Builds a before/now table
- [ ] Total $67M → $55M (−$12M)
- [ ] Shirts −$9M and shoes −$6M; jackets flat; pants +$3M

ANSWER KEY, DON'T SHOW

	Before	Now
Jackets	$5M	$5M
Shirts	$25M	$16M
Pants	$27M	$30M
Shoes	$10M	$4M
Total	**$67M**	**$55M**

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How do you get profit from units, price and margin?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me calculate profit per line, before and now: units times price times margin.** Jackets: $5 million both times. Shirts: $25 million down to $16 million. Pants: $27 million up to $30 million. Shoes: $10 million down to $4 million. **Total profit fell from $67 million to $55 million, down $12 million. Shirts lost $9 million and shoes $6 million**; pants actually grew.

4 What's driving each line?

3 min

SAY

"What explains the change in each product line?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Jackets: volume doubled, margin halved: flat profit
- [ ] Shirts: fewer sold AND lower margin at the same price, so costs went up
- [ ] Pants: fewer sold, but margin up enough to grow profit
- [ ] Shoes: price doubled, volume fell 80%: customers are price sensitive

ANSWER KEY, DON'T SHOW

Two problem lines with different causes: shirts (volume and cost), shoes (a price increase customers rejected).

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Line by line.** **Jackets**: volume doubled but margin halved, so profit is flat. **Shirts**: price is the same, but volume and margin both fell, **so costs must have risen**. **Pants**: volume fell, but margin rose enough to grow profit. **Shoes**: price doubled from $50 to $100 and volume fell 80%. **Customers are clearly price-sensitive on shoes.**

5 Why shirts? ADDED

3 min

Beyond the book: The market-trends exhibit is new.

SAY

"Here's some market context. What does it tell you about shirts?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. Market trends over the same three years

Indicator	Change
Shopping mall foot traffic	−15%
Online share of everyday clothing sales	20% → 35%
Cotton price	+25%

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Basic shirts are easy to buy online, so mall-only sales suffer
- [ ] Fewer mall visitors means fewer sales
- [ ] Cotton cost rise explains the lower shirt margin
- [ ] Points out the bigger issue: no online channel

ANSWER KEY, DON'T SHOW

Volume: shoppers moved online and malls emptied. Margin: cotton up 25%. The company's mall-only model is exposed.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **It explains both shirt problems.** On volume: mall traffic is down 15% and online's share of everyday clothing rose from 20% to 35%. **Basic shirts are exactly what people buy online**, and we don't sell online. On margin: cotton rose 25%, which explains the higher costs. **The bigger issue is that a mall-only business model is exposed.**

6 Fixing shirts

3 min

SAY

"How could we increase shirt profits?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structured: increase revenue vs. decrease costs
- [ ] Revenue: launch online sales, marketing, bundles (3 for $25), new markets, test price
- [ ] Costs: renegotiate or switch cotton suppliers, blended fabrics, more efficient production
- [ ] Mentions price sensitivity before raising price

ANSWER KEY, DON'T SHOW

Best answers lead with the online channel (the root cause) and cotton sourcing (the cost driver), then the rest.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split it into revenue and costs.** **Revenue**: first, **launch online sales**, since that's where shirt customers went; then bundles like three for $25, marketing, and new regions. I'd only change price after testing price sensitivity. **Costs**: renegotiate or diversify cotton suppliers, consider blended fabrics, and invest in more efficient production.

7 The shoe deal

4 min

SAY

"Now shoes. A famous high-end department store offers a partnership: they'd sell our shoes under their brand at $100, guaranteeing at least 1.2 million pairs a year. Margins stay at 20%, but they keep 65% of the profit, and we can't sell shoes ourselves anymore. Purely on the economics, should we do it? Without the deal, shoe profit stays at $4M."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] 1.2M × $100 = $120M revenue
- [ ] × 20% = $24M profit
- [ ] × 35% kept = $8.4M, more than double today's $4M

ANSWER KEY, DON'T SHOW

`1.2M × $100 = $120M → × 20% = $24M → our 35% = $8.4M (vs. $4M)`

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> 1.2 million pairs at $100 is $120 million of revenue. At a 20% margin, that's $24 million of profit, and we keep 35%, so **$8.4 million, more than double today's $4 million**. **On pure economics, the deal is better than the status quo.**

8 Push back ADDED

3 min

SAY

"Sounds like an easy yes. Any concerns?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Spots the simpler option: before the price rise, shoes made $10M at $50, more than the deal's $8.4M
- [ ] Loses control of the brand and the customer relationship
- [ ] Depends on one partner; what happens when the contract ends?
- [ ] Fewer reasons to visit our stores, which may hurt other lines

ANSWER KEY, DON'T SHOW

The insight: shoes made **$10M** at $50 before. Testing a price cut back toward $50 might beat the deal without giving up the brand.

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What were shoes earning before the price change?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Yes, one important one.** Before we raised the price, shoes sold 1 million pairs at $50 and made **$10 million, more than the deal's $8.4 million**. So simply going back toward $50 might beat the partnership. The deal also **gives away our brand and customer relationship**, ties us to one partner, and may reduce visits to our stores.

9 Recommendation PARTLY ADDED

1–2 min

Beyond the book: Online sales and testing the old shoe price are added.

SAY

"The CEO wants your answer: why did profits fall and what should we do?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: shirts and shoes caused the $12M decline
- [ ] Shirts: fewer shoppers in malls and higher cotton costs → launch online, renegotiate cotton
- [ ] Shoes: the price doubling drove customers away → test returning toward $50 before signing the $8.4M deal
- [ ] Next steps: online channel business case; look at the jacket margin decline; protect pants' gains

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Profits fell $12 million, driven by two product lines: shirts and shoes.** **Shirts** lost $9 million because shoppers moved online and cotton costs rose. I recommend launching online sales and renegotiating cotton. **Shoes** lost $6 million because we doubled the price and lost 80% of buyers. **Before signing the $8.4 million deal, I'd test returning to around $50**, which earned $10 million before. **Next steps:** build the online business case, and investigate why jacket margins halved.

▼ Show the full sample interview

INTERVIEWER

"Our client is a clothing manufacturer that makes everyday wear for men and women. They sell only through their own stores in shopping malls around the world."

"A few years ago they were very profitable. Since then, profits have fallen significantly. What's causing the decline, and what should they do about it?"

CANDIDATE

> **Let me play it back**: our client makes everyday clothing and sells only through its own mall stores worldwide. Profits have declined significantly over the past few years. **We need to find the cause and a fix.** First question: **is it profit in dollars or profit margin that fell?** And by how much? Do they sell online? And are competitors seeing the same thing?

INTERVIEWER · FRAMEWORK

"How would you structure this?"

CANDIDATE

> **I'd look at this from four angles.** **Financials**: revenue, meaning quantity and price, and costs, fixed and variable, by product line. **Customers**: have preferences or shopping habits changed? **Competition**: new entrants, or competitors doing something different? **Market**: overall trends, like online shopping. **I'd start with the financials, to find which product lines are losing money.**

INTERVIEWER · WHICH PRODUCTS?

"Let's look at the product lines. How much has profit dropped overall, and which lines are responsible?"

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	Units sold	Price	Profit margin	Units sold	Price	Profit margin
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Shoes	1M	$50	20%	0.2M	$100	20%

CANDIDATE

Let me calculate profit per line, before and now: units times price times margin. Jackets: $5 million both times. Shirts: $25 million down to $16 million. Pants: $27 million up to $30 million. Shoes: $10 million down to $4 million. **Total profit fell from $67 million to $55 million, down $12 million. Shirts lost $9 million and shoes $6 million**; pants actually grew.

INTERVIEWER · WHAT'S DRIVING EACH LINE?

"What explains the change in each product line?"

CANDIDATE

Line by line. **Jackets**: volume doubled but margin halved, so profit is flat. **Shirts**: price is the same, but volume and margin both fell, **so costs must have risen**. **Pants**: volume fell, but margin rose enough to grow profit. **Shoes**: price doubled from $50 to $100 and volume fell 80%. **Customers are clearly price-sensitive on shoes.**

INTERVIEWER · WHY SHIRTS?

"Here's some market context. What does it tell you about shirts?"

Exhibit 2. Market trends over the same three years

Indicator	Change
Shopping mall foot traffic	−15%
Online share of everyday clothing sales	20% → 35%
Cotton price	+25%

CANDIDATE

It explains both shirt problems. On volume: mall traffic is down 15% and online's share of everyday clothing rose from 20% to 35%. **Basic shirts are exactly what**

people buy online, and we don't sell online. On margin: cotton rose 25%, which explains the higher costs. **The bigger issue is that a mall-only business model is exposed.**

INTERVIEWER · FIXING SHIRTS

"How could we increase shirt profits?"

CANDIDATE

I'd split it into revenue and costs. **Revenue**: first, **launch online sales**, since that's where shirt customers went; then bundles like three for $25, marketing, and new regions. I'd only change price after testing price sensitivity. **Costs**: renegotiate or diversify cotton suppliers, consider blended fabrics, and invest in more efficient production.

INTERVIEWER · THE SHOE DEAL

"Now shoes. A famous high-end department store offers a partnership: they'd sell our shoes under their brand at $100, guaranteeing at least 1.2 million pairs a year. Margins stay at 20%, but they keep 65% of the profit, and we can't sell shoes ourselves anymore. Purely on the economics, should we do it? Without the deal, shoe profit stays at $4M."

CANDIDATE

1.2 million pairs at $100 is $120 million of revenue. At a 20% margin, that's $24 million of profit, and we keep 35%, so **$8.4 million, more than double today's $4 million**. **On pure economics, the deal is better than the status quo.**

INTERVIEWER · PUSH BACK

"Sounds like an easy yes. Any concerns?"

CANDIDATE

Yes, one important one. Before we raised the price, shoes sold 1 million pairs at $50 and made **$10 million, more than the deal's $8.4 million**. So simply going back toward $50 might beat the partnership. The deal also **gives away our brand and customer relationship**, ties us to one partner, and may reduce visits to our stores.

INTERVIEWER · RECOMMENDATION

"The CEO wants your answer: why did profits fall and what should we do?"

CANDIDATE

Profits fell $12 million, driven by two product lines: shirts and shoes. **Shirts** lost $9 million because shoppers moved online and cotton costs rose. I recommend

> launching online sales and renegotiating cotton. **Shoes** lost $6 million because we doubled the price and lost 80% of buyers. **Before signing the $8.4 million deal, I'd test returning to around $50**, which earned $10 million before. **Next steps:** build the online business case, and investigate why jacket margins halved.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: … / Fix: …

CASE 3 OF 5

Bank Co. Buys Nigeria Card

Acquisition | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A large Nigerian bank wants to buy a credit card company for $14B and earn it back within 3 years. The candidate assesses synergies, builds the target's profit from revenue and cost lines, then stress-tests the deal against a rise in customer defaults.

THE ANSWER IN ONE LINE, DON'T SHOW

Base case: year-1 profit **$4B**, growing 20% → **$14.56B over 3 years**, so it just meets the goal. But if defaults rise from 5% to 6%, profit halves and 3 years only bring **$7.28B**. Recommend acquiring, **conditional** on credit-risk due diligence and price protection.

1 Read the prompt

2–3 min

SAY

"Our client, Bank Co., is the fourth-largest bank in Nigeria, with over $10 billion in deposits. It offers checking and savings accounts. Unlike the top three banks, it doesn't offer credit cards."

"Bank Co. has identified a credit card company, Nigeria Card, as a possible acquisition. Should Bank Co. buy Nigeria Card so it can offer credit cards to its customers?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

What's the price?	"The seller is asking $14 billion."
What's the goal?	"Bank Co. wants to earn back the purchase price within three years."
Why credit cards now? ADDED	"Some customers are moving to the top three banks to get a card with their account."
Does Bank Co. have card experience?	"No."
Would regulators approve? ADDED	"Assume yes."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Finds the 3-year payback goal
- [ ] Asks why cards matter (customers leaving)
- [ ] Asks about card experience

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To recap**: Bank Co. is Nigeria's fourth-largest bank, with over $10 billion in deposits. It offers accounts but no credit cards, unlike the top three. **It's considering buying Nigeria Card to offer cards.** Questions: what's the price? Is there a payback target? And why is this a priority now?

2 Framework

2–3 min

SAY

"How would you approach this decision?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Financials: is $14B fair, payback vs. 3 years
- [ ] Target attractiveness: profitability, market share, brand, capabilities
- [ ] Card market attractiveness: size, growth, margins
- [ ] Synergies: revenue and cost

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd evaluate the deal in four areas.** **Financials**: is $14 billion a fair price, and can it pay back in three years? **The target**: Nigeria Card's profitability, market share, brand and capabilities. **The card market**: size, growth and margins. And **synergies**: revenue and cost.

3 Synergies

3 min

SAY

"Before the numbers, what synergies could Bank Co. get from this deal?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Structured: revenue synergies vs. cost synergies
- [ ] Revenue: cross-sell cards to account holders and accounts to cardholders; access to Nigeria Card's customers and channels; stop losing customers to rivals
- [ ] Cost: combined sales teams, shared branches, IT and back office

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd split synergies into revenue and cost.** **Revenue**: cross-sell cards to our account holders and accounts to their cardholders; gain access to Nigeria Card's customers and channels; and stop losing customers to banks that offer cards. **Cost**: combine sales teams, and share branches, IT and back-office functions.

4 Does it pay back?

6–7 min

SAY

"Here are Nigeria Card's economics. Can Bank Co. earn back the $14 billion within three years?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 1. Nigeria Card: 20 million customers

Revenue	Assumption
Annual fee	$50 per customer
Transaction fees	3% of spending; average $15,000 a year
Interest	20% a year on $2,000 of balances per customer

Cost	Assumption
Card maintenance	$10 per customer a year
Customer defaults	5% of customers, $10,000 lost on each
Cost of funds	1% a year on the $15,000 spent per customer
Fixed costs	$800M a year

Profit is expected to grow **20% a year** after year one.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Revenue: $1B + $9B + $8B = $18B
- [ ] Costs: $0.2B + $10B + $3B + $0.8B = $14B
- [ ] Year-1 profit $4B, then $4.8B, then $5.76B
- [ ] Total $14.56B > $14B: just meets the goal
- [ ] Notes how thin the margin of safety is ($560M)

ANSWER KEY, DON'T SHOW

```
Revenue: 50×20M = 1B; 3%×15k×20M = 9B; 20%×2k×20M = 8B → $18B
Costs: 10×20M = 0.2B; 5%×20M×10k = 10B; 1%×15k×20M = 3B; 0.8B → $14B
Profit: 4 + 4.8 + 5.76 = $14.56B over 3 years
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "Work out revenue first, one line at a time."
2. "Which cost line is the biggest?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Revenue first.** Annual fees: $50 times 20 million, $1 billion. Transaction fees: 3% of $15,000 times 20 million, $9 billion. Interest: 20% of $2,000 times 20 million, $8 billion. **Total $18 billion.** **Costs**: maintenance $200 million, defaults 5% times 20 million times $10,000, $10 billion, cost of funds $3 billion, fixed costs $800 million. **Total $14 billion.** So year-one profit is $4 billion, then $4.8 billion and $5.76 billion: **$14.56 billion in three years, just above the price.** **But the margin of safety is thin, only about $560 million.**

5 Stress test ADDED

3 min

Beyond the book: The 6% default scenario is new.

SAY

"Last year, during an economic slowdown, Nigeria Card's default rate rose to 6%. If defaults stay at 6%, does the deal still pay back in three years?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Default losses rise from $10B to $12B
- [ ] Year-1 profit halves to $2B
- [ ] 3-year total ≈ $7.3B: about half the price, payback ~5 years
- [ ] Concludes the deal is very sensitive to credit risk: each point of defaults is $2B a year

ANSWER KEY, DON'T SHOW

```
6% × 20M × $10k = $12B → profit 18 − 16 = $2B
2 + 2.4 + 2.88 = $7.28B in 3 years (payback ≈ 5 years)
```

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> At 6%, default losses rise from $10 billion to $12 billion, so **year-one profit halves to $2 billion**. Three years then bring 2 plus 2.4 plus 2.88, about **$7.3 billion, half the price**, and payback stretches to about five years. **So what:** each percentage point

of defaults is worth about $2 billion a year. **Credit risk is the biggest swing factor in this deal.**

6 Build instead?

3 min

SAY

"Could Bank Co. just launch its own credit cards instead of buying?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Takes a position and gives reasons
- [ ] Card risk management is a different skill from deposits
- [ ] Needs card technology, processing, rewards, customer support
- [ ] No brand in cards; would take years while customers leave
- [ ] Possible middle ground: partner with a card issuer

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

I don't think so, for three reasons. One, **risk**: managing credit card defaults is very different from managing deposits, and we have no expertise. Two, **capabilities**: card processing, rewards and customer support take years to build. Three, **brand**: customers know us for savings accounts, not cards. **A middle option** would be to partner with an existing card issuer.

7 Recommendation PARTLY ADDED

1–2 min

Beyond the book: Acquiring is the book's answer; the credit-risk conditions are added.

SAY

"The executive team wants an interim recommendation."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: acquire, with conditions
- [ ] Reasons: strong synergies; top 3 rivals all offer cards; building would be slow and risky; base case pays back in 3 years
- [ ] Risk: defaults; at 6% payback stretches to ~5 years
- [ ] Conditions: credit-risk due diligence, price adjustment or earn-out tied to defaults
- [ ] Next steps: card market growth, compare other targets

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **My working recommendation is to acquire Nigeria Card, with conditions.** Four reasons: strong revenue and cost synergies; the top three rivals all offer cards; building our own would be slow and risky; and in the base case the deal pays back in three years. **But it is very sensitive to defaults**: at 6%, payback stretches to about five years. **So I'd make it conditional** on credit-risk due diligence and a price adjustment or earn-out tied to default rates. **Next steps:** assess card market growth, and compare other targets.

▼ Show the full sample interview

INTERVIEWER

"Our client, Bank Co., is the fourth-largest bank in Nigeria, with over $10 billion in deposits. It offers checking and savings accounts. Unlike the top three banks, it doesn't offer credit cards."

"Bank Co. has identified a credit card company, Nigeria Card, as a possible acquisition. Should Bank Co. buy Nigeria Card so it can offer credit cards to its customers?"

> CANDIDATE
>
> **To recap**: Bank Co. is Nigeria's fourth-largest bank, with over $10 billion in deposits. It offers accounts but no credit cards, unlike the top three. **It's considering buying Nigeria Card to offer cards.** Questions: what's the price? Is there a payback target? And why is this a priority now?

INTERVIEWER · FRAMEWORK

"How would you approach this decision?"

> CANDIDATE

I'd evaluate the deal in four areas. **Financials**: is $14 billion a fair price, and can it pay back in three years? **The target**: Nigeria Card's profitability, market share, brand and capabilities. **The card market**: size, growth and margins. And **synergies**: revenue and cost.

INTERVIEWER · SYNERGIES

"Before the numbers, what synergies could Bank Co. get from this deal?"

CANDIDATE

I'd split synergies into revenue and cost. **Revenue**: cross-sell cards to our account holders and accounts to their cardholders; gain access to Nigeria Card's customers and channels; and stop losing customers to banks that offer cards. **Cost**: combine sales teams, and share branches, IT and back-office functions.

INTERVIEWER · DOES IT PAY BACK?

"Here are Nigeria Card's economics. Can Bank Co. earn back the $14 billion within three years?"

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Fixed costs	$800M a year

Profit is expected to grow **20% a year** after year one.

CANDIDATE

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$14.56 billion in three years, just above the price. **But the margin of safety is thin, only about $560 million.**

INTERVIEWER · STRESS TEST

"Last year, during an economic slowdown, Nigeria Card's default rate rose to 6%. If defaults stay at 6%, does the deal still pay back in three years?"

CANDIDATE

At 6%, default losses rise from $10 billion to $12 billion, so **year-one profit halves to $2 billion**. Three years then bring 2 plus 2.4 plus 2.88, about **$7.3 billion, half the price**, and payback stretches to about five years. **So what:** each percentage point of defaults is worth about $2 billion a year. **Credit risk is the biggest swing factor in this deal.**

INTERVIEWER · BUILD INSTEAD?

"Could Bank Co. just launch its own credit cards instead of buying?"

CANDIDATE

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INTERVIEWER · RECOMMENDATION

"The executive team wants an interim recommendation."

CANDIDATE

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Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: — / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 4 OF 5

Pharma Co. Pricing

Pricing | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A drug company needs a price for a new arthritis drug. The candidate reads a competitor chart, sizes the market to find the price that recovers $4B in five years, uses customer willingness-to-pay data, then considers charging different groups different net prices.

THE ANSWER IN ONE LINE, DON'T SHOW

The drug beats competitors on safety for its efficacy, so price above **$80–100**. Breakeven over 5 years needs **~$111**. With one price, **$110** maximizes revenue (**$792M a year**). With a $200 list price and $110 for price-sensitive patients, revenue reaches **~$1.1B** and payback ~3.6 years.

1 Read the prompt

2–3 min

SAY

"Our client, Pharma Co., is a large US pharmaceutical company. It has just finished developing a new drug for arthritis, a disease that causes joint pain, stiffness and swelling."

"FDA approval is expected soon. The CFO has hired us to recommend a price for the drug. What should it be?"

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

How is the drug taken?	"One dose, twice a year."
What did it cost to develop?	"$4 billion. Each dose costs pennies to make."
What's the goal?	"Recover the $4B within five years of launch."
Are there competing drugs?	"Four. I'll show you how they compare."
Who pays: patients or insurers? ADDED	"Good question. For now, assume patients pay the price we set. We'll come back to it."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Finds the $4B investment and 5-year goal
- [ ] Asks about competitors
- [ ] Asks who pays

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **To make sure I understand**: Pharma Co. has developed a new arthritis drug, FDA approval is expected soon, and **the CFO wants a price recommendation**. Questions: how is the drug taken? What did development cost, and is there a payback goal? Are there competing drugs? And who pays: patients or insurers?

2 Framework

2–3 min

SAY

"How would you think about the price?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Customer willingness to pay, including insurance
- [ ] Competitor prices vs. how good their drugs are
- [ ] Pharma Co.'s economics: $4B investment, cost per dose, 5-year breakeven
- [ ] Pricing strategies: discounts, different prices per segment

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'd look at price from four angles.** **Customers**: what they're willing and able to pay, including insurance. **Competitors**: their prices compared with how good their drugs are. **Our economics**: the $4 billion investment, production cost, and breakeven within five years. And **pricing strategy**: discounts or different prices for different groups.

3 Competitor map

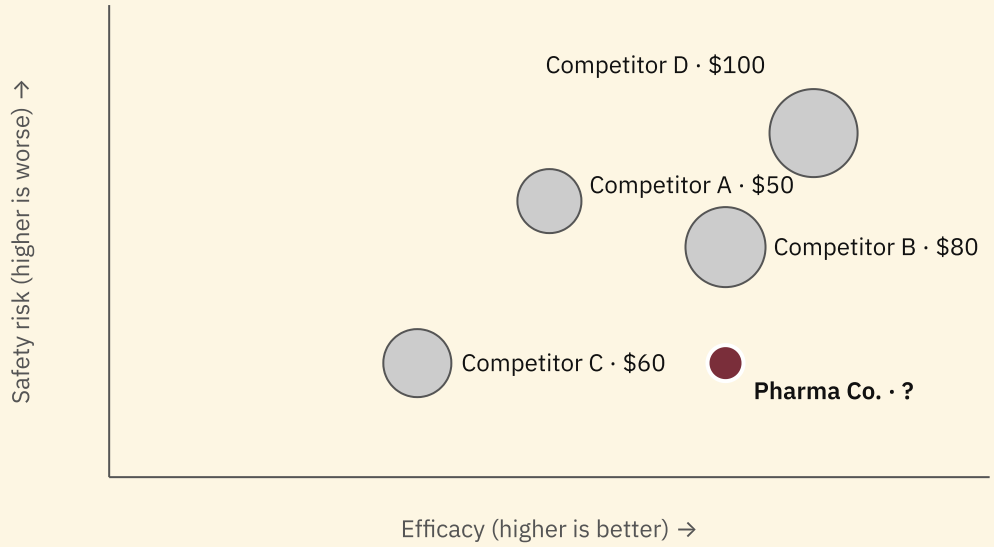
4 min

SAY

"Here's how the four competing drugs compare. Where should our price sit?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 1. Arthritis drugs: efficacy vs. safety risk (bubble size = price)



LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Better than A on both efficacy and safety → above $50
- [ ] Same efficacy as B, lower risk → above $80
- [ ] Same risk as C, higher efficacy → above $60
- [ ] D: higher efficacy but much higher risk; trade-off, arguably above $100
- [ ] Concludes: at least $80, likely $100+

ANSWER KEY, DON'T SHOW

Price floor of **$80**, and a case for **above $100**: Pharma Co. has the best efficacy for its level of risk.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me compare us with each competitor.** Against A, we're better on both efficacy and safety, so above $50. Against B, same efficacy but safer, so above $80. Against C, same safety but more effective, so above $60. Against D, less effective but much

safer: **a trade-off, but our risk-to-efficacy ratio is better**. **So our price floor is $80, and there's a case for above $100.**

4 Positioning

2 min

SAY

"How should Pharma Co. market the drug? What makes it different?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Lowest safety risk on the market (tied with C) for patients worried about side effects
- [ ] Or: the best efficacy for its risk, the 'best value' drug

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

Two possible positions. One: **the safest effective drug on the market**, for patients worried about side effects. Two: **the best efficacy for its level of risk**, the best-value option. **I'd lead with safety**, since it's the clearest difference for patients and doctors.

5 Breakeven price PARTLY ADDED

6 min

Beyond the book: The book's sample-answer assumptions are offered as data if asked.

SAY

"Let's find the price that recovers the $4 billion within five years. Assume Pharma Co. wins 20% of the arthritis drug market."

GIVE ONLY WHEN: ONLY IF THEY ASK FOR NUMBERS OR ARE FAR OFF. LET THEM ESTIMATE FIRST.

Exhibit 2. US population ~**320M**, spread evenly from 0 to 80.

Age	0–20	20–40	40–60	60–80
% with arthritis	0%	0%	10%	20%

75% of people with arthritis take a drug for it.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Sizes the market: 8M + 16M = 24M with arthritis → 18M take a drug → 3.6M our customers
- [ ] Doses: 3.6M × 2 × 5 years = 36M
- [ ] Breakeven: 36M × price = $4B → ~$111
- [ ] Notes this sits just above the $100 competitor, so it's plausible

ANSWER KEY, DON'T SHOW

```
80M × 10% + 80M × 20% = 24M → × 75% = 18M → × 20% = 3.6M customers
3.6M × 2 doses × 5 years = 36M doses
$4B ÷ 36M ≈ $111 per dose
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "How many patients would take our drug?"
2. "How many doses is that over five years?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me size the market.** 320 million people in four groups of 80 million. Arthritis is rare under 40; I'll assume 10% of 40 to 60, 8 million, and 20% of 60 to 80, 16 million, so **24 million with arthritis**. 75% take a drug, so 18 million, and our 20% share is **3.6 million customers**. Twice a year for five years is **36 million doses**. Production cost is negligible, so **$4 billion divided by 36 million is about $111 a dose**.

6 Willingness to pay

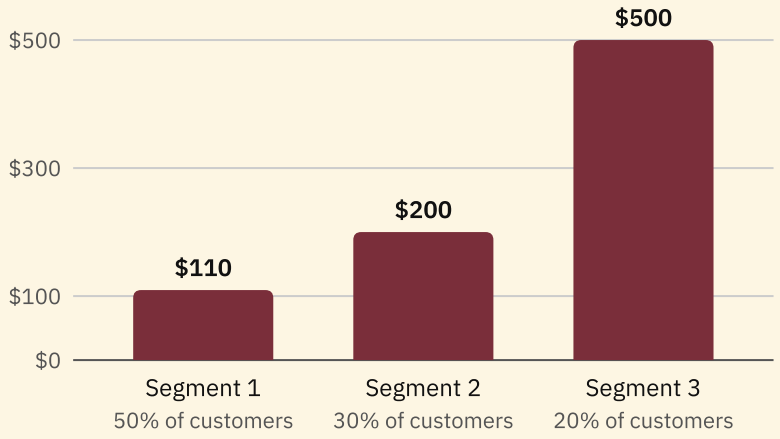
4 min

SAY

"Market research found three customer segments with different maximum prices. We can set only one price. What should it be?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Maximum willingness to pay per dose, and share of our 3.6M customers



LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Only $110, $200 or $500 make sense as prices
- [ ] $110: everyone buys → 3.6M × 2 × $110 = $792M a year
- [ ] $200: 50% buy → $720M; $500: 20% buy → $720M
- [ ] Picks $110, and notes it matches the ~$111 breakeven

ANSWER KEY, DON'T SHOW

```
$110: 3.6M × 100% × 2 × 110 = $792M/yr
$200: 3.6M × 50% × 2 × 200 = $720M/yr
$500: 3.6M × 20% × 2 × 500 = $720M/yr
```

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Only three prices make sense: $110, $200 or $500**, because anywhere between them loses no extra customers. At **$110**, everyone buys: 3.6 million times 2 times $110 is **$792 million a year**. At **$200**, half buy: $720 million. At **$500**, 20% buy: also $720 million. **So $110 maximizes revenue**, and it conveniently matches our breakeven price.

7 Two prices ADDED

3 min

SAY

"In reality, drug makers can charge different net prices, for example through insurer rebates and patient assistance programs. If Pharma Co. sets a $200 list price but lets segment 1 pay $110, what's the yearly revenue?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Segment 1: 1.8M × 2 × $110 = $396M
- [ ] Segments 2 and 3: 1.8M × 2 × $200 = $720M
- [ ] Total ≈ $1.12B: payback ≈ 3.6 years, beating the 5-year goal
- [ ] Risks: segment 3 would pay $500, public criticism of drug prices, insurer pushback, people gaming the discount

ANSWER KEY, DON'T SHOW

`396M + 720M = $1.116B a year → $4B ÷ 1.116B ≈ 3.6 years`

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> Segment 1 at $110: 1.8 million times 2 times $110 is $396 million. Segments 2 and 3 at $200: 1.8 million times 2 times $200 is $720 million. **Total about $1.1 billion a year**, so payback in **about 3.6 years, beating the 5-year goal**. **Risks:** public criticism of drug pricing, insurer pushback, and people gaming the discount.

8 Recommendation PARTLY ADDED

1–2 min

Beyond the book: The two-price option is added.

SAY

"The CFO needs a quick answer. What price?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: a clear price (e.g. $110 single price, or $200 list with assistance at $110)
- [ ] Reasons: above competitors thanks to the safety/efficacy profile; meets 5-year breakeven; maximizes revenue across segments
- [ ] Next steps: insurer negotiations, assistance-program design, launch discounting

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I recommend a $200 list price, with assistance programs that bring the net price to $110 for price-sensitive patients.** Three reasons. Our drug's safety justifies pricing above competitors. A single price of $110 already breaks even in five years, and two price levels bring revenue to about $1.1 billion a year, paying back in under four years. **If two prices aren't feasible, $110 is the right single price.** **Next steps:** negotiate with insurers, and design the assistance program.

▼ Show the full sample interview

INTERVIEWER

"Our client, Pharma Co., is a large US pharmaceutical company. It has just finished developing a new drug for arthritis, a disease that causes joint pain, stiffness and swelling."

"FDA approval is expected soon. The CFO has hired us to recommend a price for the drug. What should it be?"

> CANDIDATE
>
> **To make sure I understand**: Pharma Co. has developed a new arthritis drug, FDA approval is expected soon, and **the CFO wants a price recommendation**. Questions: how is the drug taken? What did development cost, and is there a payback goal? Are there competing drugs? And who pays: patients or insurers?

INTERVIEWER · FRAMEWORK

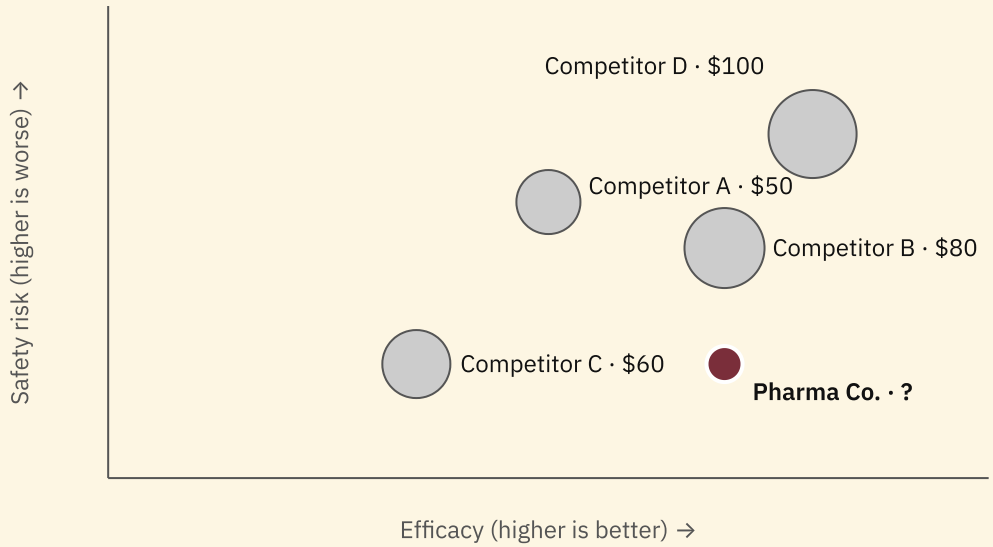
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INTERVIEWER · COMPETITOR MAP

"Here's how the four competing drugs compare. Where should our price sit?"

Exhibit 1. Arthritis drugs: efficacy vs. safety risk (bubble size = price)



CANDIDATE

Let me compare us with each competitor. Against A, we're better on both efficacy and safety, so above $50. Against B, same efficacy but safer, so above $80. Against C, same safety but more effective, so above $60. Against D, less effective but much safer: **a trade-off, but our risk-to-efficacy ratio is better**. **So our price floor is $80, and there's a case for above $100.**

INTERVIEWER · POSITIONING

"How should Pharma Co. market the drug? What makes it different?"

CANDIDATE

Two possible positions. One: **the safest effective drug on the market**, for patients worried about side effects. Two: **the best efficacy for its level of risk**, the best-value option. **I'd lead with safety**, since it's the clearest difference for patients and doctors.

INTERVIEWER · BREAKEVEN PRICE

"Let's find the price that recovers the $4 billion within five years. Assume Pharma Co. wins 20% of the arthritis drug market."

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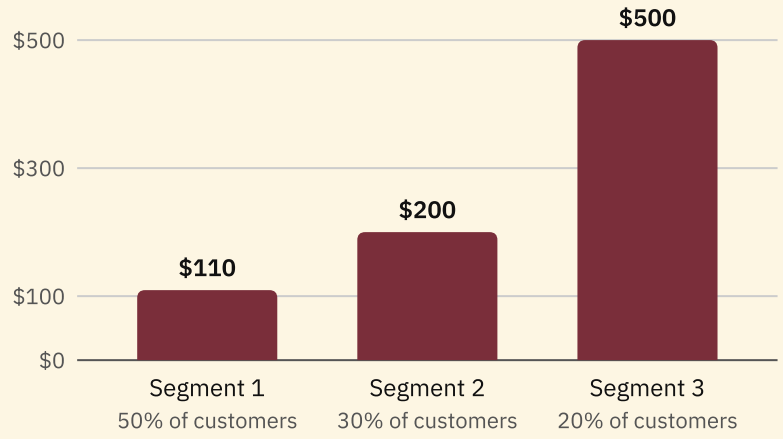
CANDIDATE

Let me size the market. 320 million people in four groups of 80 million. Arthritis is rare under 40; I'll assume 10% of 40 to 60, 8 million, and 20% of 60 to 80, 16 million, so **24 million with arthritis**. 75% take a drug, so 18 million, and our 20% share is **3.6 million customers**. Twice a year for five years is **36 million doses**. Production cost is negligible, so **$4 billion divided by 36 million is about $111 a dose**.

INTERVIEWER · WILLINGNESS TO PAY

"Market research found three customer segments with different maximum prices. We can set only one price. What should it be?"

Exhibit 3. Maximum willingness to pay per dose, and share of our 3.6M customers



CANDIDATE

Only three prices make sense: $110, $200 or $500, because anywhere between them loses no extra customers. At **$110**, everyone buys: 3.6 million times 2 times $110 is **$792 million a year**. At **$200**, half buy: $720 million. At **$500**, 20% buy: also $720 million. **So $110 maximizes revenue**, and it conveniently matches our breakeven price.

INTERVIEWER · TWO PRICES

"In reality, drug makers can charge different net prices, for example through insurer rebates and patient assistance programs. If Pharma Co. sets a $200 list price but lets segment 1 pay $110, what's the yearly revenue?"

CANDIDATE

Segment 1 at $110: 1.8 million times 2 times $110 is $396 million. Segments 2 and 3 at $200: 1.8 million times 2 times $200 is $720 million. **Total about $1.1 billion a year**, so payback in **about 3.6 years, beating the 5-year goal**. **Risks:** public criticism of drug pricing, insurer pushback, and people gaming the discount.

INTERVIEWER · RECOMMENDATION

"The CFO needs a quick answer. What price?"

CANDIDATE

I recommend a $200 list price, with assistance programs that bring the net price to $110 for price-sensitive patients. Three reasons. Our drug's safety justifies pricing above competitors. A single price of $110 already breaks even in five years, and two price levels bring revenue to about $1.1 billion a year, paying back in under four years. **If two prices aren't feasible, $110 is the right single price.** **Next steps:** negotiate with insurers, and design the assistance program.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

CASE 5 OF 5

Diamond Co. Margins

Profitability | Medium | ~25 min

WHAT THIS CASE IS ABOUT (READ THIS YOURSELF)

A diamond jewelry maker's profit margin fell from 47% to 42%. The candidate finds that 80% of the drop comes from earrings' falling margin and 20% from selling fewer high-margin necklaces, then shows necklaces are stuck in an unattractive middle price band.

THE ANSWER IN ONE LINE, DON'T SHOW

Margin fell **47% → 42%**. **80%** of the drop: earring margin (35% → 25%, costs up faster than price, lab-grown competition). **20%**: the mix shifted from necklaces to rings. Necklaces at $1,700 are stuck between budget and luxury; repositioning at $11,000 could lift necklace profit from **$0.5M to $2.4M**.

1 Read the prompt

2–3 min

SAY

"Our client, Diamond Co., makes diamond jewelry. They cover the whole value chain, from mining the diamonds to making rings, necklaces and earrings."

"Their profitability has declined over the past few years. The CEO wants to know why, and what to do about it."

"Do you have any questions before you start?"

IF THEY ASK… YOU ANSWER

Profit in dollars, or profit margin?	"Profit margin. Total sales are roughly flat."
What do they sell?	"Rings, necklaces and earrings."
Who are the competitors? ADDED	"Many jewelers, from budget to luxury. Lab-grown diamonds have also become popular."
What's the goal? ADDED	"Get the margin back to where it was."
Anything else	"Not important for this case. Make an assumption."

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Clarifies profit vs. profit margin (the book's key trap)
- [ ] Asks about competitors and notices lab-grown diamonds

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Let me play it back**: Diamond Co. covers the whole value chain, from mining to jewelry, and **its profitability has declined**. The CEO wants the cause and a fix. **First, to be precise: is it total profit or profit margin that fell?** What product lines do they have? And who are the competitors?

2 Framework

2–3 min

SAY

"How would you structure this?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin by product: price and cost per unit, product mix
- [ ] Customers: changing preferences (lab-grown, price bands)
- [ ] Competition: what rivals charge and sell
- [ ] Market: diamond input costs, new technology

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Since it's the margin that fell, I'd look at four things.** **Margin by product**: price and cost per unit for each line. **Product mix**: are we selling more of the lower-margin products? **Customers and competitors**: what rivals charge, and trends like lab-grown diamonds. And **input costs**: diamonds, metal and labor.

3 How much, and why?

5 min

SAY

"Here's the product data. How much has the overall margin fallen, and why?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 1. Product lines, a few years ago vs. now

Product	Before			Now		
	% of sales	Price	Cost	% of sales	Price	Cost
Rings	30%	$2,300	$1,150	40%	$2,400	$1,200
Necklaces	30%	$1,800	$720	20%	$1,700	$680
Earrings	40%	$1,000	$650	40%	$1,200	$900

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Margin per product: rings 50% → 50%, necklaces 60% → 60%, earrings 35% → 25%
- [ ] Weighted average: 47% → 42%
- [ ] Two causes: earring margin fell; mix shifted from high-margin necklaces to lower-margin rings

ANSWER KEY, DON'T SHOW

```
Before: 0.3×50% + 0.3×60% + 0.4×35% = 47%
Now:    0.4×50% + 0.2×60% + 0.4×25% = 42%
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What's each product's margin?"
2. "How do you combine them using % of sales?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **First, margin per product.** Rings: 50% before and now. Necklaces: 60% before and now. Earrings: from 35% down to 25%. **Weighting by share of sales**, the overall margin was 47% and is now 42%, **down 5 points**. **Two causes**: earring margins fell, and the mix shifted from 60%-margin necklaces to 50%-margin rings.

4 Which cause matters more?

4 min

SAY

"What share of the 5-point decline comes from earrings' margin, and what share from the product mix?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Holds earrings' margin at 35%: margin would be 46%, so mix = 1 point = 20%
- [ ] Holds the mix constant: margin would be 43%, so earrings = 4 points = 80%
- [ ] Concludes earrings are the main problem

ANSWER KEY, DON'T SHOW

```
Mix only: 0.4×50 + 0.2×60 + 0.4×35 = 46% → 1 pt of 5 = 20%
Earrings only: 0.3×50 + 0.3×60 + 0.4×25 = 43% → 4 pts of 5 = 80%
```

IF THEY'RE STUCK: ONE HINT AT A TIME

1. "What if only one thing had changed?"

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **I'll isolate each driver.** If only the mix had changed, keeping earrings at 35%, the margin would be 46%: a 1-point drop, **20% of the decline**. If only earrings had changed, keeping the old mix, it would be 43%: 4 points, **80% of the decline**. **So earrings are the main problem.**

5 Why fewer necklaces?

3 min

SAY

"Let's look at necklaces. Here's how we compare with competitors. What do you see?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 2. Necklace prices and sales

Company	Necklace price	Units sold
Diamond Co.	$1,700	500
Competitor A	$11,000	4,000
Competitor B	$600	10,000
Competitor C	$20,000	2,000
Competitor D	$300	30,000
Competitor E	$17,000	3,000
Competitor F	$500	25,000

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Sorts competitors into two groups: budget ($300–600) and luxury ($11,000–20,000)
- [ ] Diamond Co. is stuck in the middle, where customers don't buy
- [ ] Can't go budget: our necklace costs $680, above budget prices
- [ ] So move up to luxury

ANSWER KEY, DON'T SHOW

Squeezed middle: customers buy either cheap or luxury. With a $680 cost, the only viable move is up.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Competitors fall into two clear groups**: budget at $300 to $600, selling high volumes, and luxury at $11,000 to $20,000. **We're stuck in the middle at $1,700, where customers don't seem to buy.** We can't go budget, because our necklace costs $680, more than budget prices. **So the only viable move is up, into luxury.**

6 Going premium ADDED

3 min

SAY

"The team drafted a premium plan: price necklaces at $11,000, with better stones and design that raise the cost to $3,000 each. They expect to sell 300 a year. How does necklace profit compare with today?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Today: 500 × ($1,700 – $680) = $510k
- [ ] Plan: 300 × ($11,000 – $3,000) = $2.4M
- [ ] Margin rises to ~73%, which also lifts the overall mix
- [ ] Risks: does the brand have luxury credibility? Marketing spend, store experience

ANSWER KEY, DON'T SHOW

```
Now: 500 × 1,020 = $510k
Plan: 300 × 8,000 = $2.4M (about 4.7×)
```

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> Today: 500 necklaces at a $1,020 profit each is **$510,000**. The plan: 300 at $8,000 profit each is **$2.4 million, almost five times more**, at a 73% margin. **The risk is credibility**: we'd need the brand, marketing and store experience to compete with luxury names.

7 Fixing earrings PARTLY ADDED

4 min

Beyond the book: The ideas are from the book; the cost breakdown and lab-grown data are added.

SAY

"Now earrings, the bigger problem. Here's what happened to their costs and market. Why did the margin fall, and what should we do?"

GIVE ONLY WHEN: RIGHT AWAY.

Exhibit 3. Earring cost per unit

	Before	Now
Diamonds	$400	$550
Metal (gold, silver)	$150	$200
Labor	$100	$150
Total	**$650**	**$900**

Lab-grown diamond earrings sell for about **40% less** than natural ones, and their share of earring sales rose from **5% to 25%**.

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Costs up 38%, price up only 20%
- [ ] Diamonds are the biggest increase (+$150)
- [ ] Lab-grown competition caps how much the price can rise
- [ ] Ideas, structured: raise value (premium design, limited editions, marketing) vs. cut cost (cheaper or smaller stones, renegotiate metal, mining and labor efficiency)
- [ ] Creative: launch a lab-grown earring line

ANSWER KEY, DON'T SHOW

Costs rose faster than prices could follow, because cheap lab-grown alternatives limit pricing. Strong answers mention a lab-grown line as an option.

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

> **Costs rose 38% while the price rose only 20%**, and diamonds are the biggest increase. **The price can't keep up because lab-grown earrings are 40% cheaper and now a quarter of the market.** To fix it: **raise value** with premium designs, limited editions and marketing; **cut costs** by renegotiating metal, using smaller or different-grade stones, and improving mining efficiency. **And consider launching our own lab-grown line.**

8 Recommendation PARTLY ADDED

1–2 min

Beyond the book: The premium necklace numbers are added.

SAY

"The CEO wants a quick answer: why did profitability fall and what should we do?"

LISTEN FOR: TICK WHAT YOU HEAR

- [ ] Answer first: margin fell 47% → 42%, 80% from earrings, 20% from the shift away from necklaces
- [ ] Earrings: cut costs and/or reposition; consider a lab-grown line
- [ ] Necklaces: move to the luxury band (~$11,000), raising necklace profit from ~$0.5M to ~$2.4M
- [ ] Next steps: optimal necklace price, ring margin review, luxury brand investment

▼ Show example answer

EXAMPLE ANSWER, SAID OUT LOUD

Profitability fell from 47% to 42% for two reasons: 80% comes from earring margins falling from 35% to 25%, and 20% from selling fewer high-margin necklaces. I recommend two actions. **One, reposition necklaces into the luxury band, around $11,000**, which could lift necklace profit from about $0.5 million to $2.4 million. **Two, restore earring margins** by cutting diamond and metal costs and considering a lab-grown line. **Next steps:** find the optimal necklace price, and review ring margins.

▼ Show the full sample interview

INTERVIEWER

"Our client, Diamond Co., makes diamond jewelry. They cover the whole value chain, from mining the diamonds to making rings, necklaces and earrings."

"Their profitability has declined over the past few years. The CEO wants to know why, and what to do about it."

CANDIDATE

Let me play it back: Diamond Co. covers the whole value chain, from mining to jewelry, and **its profitability has declined**. The CEO wants the cause and a fix. **First, to be precise: is it total profit or profit margin that fell?** What product lines do they have? And who are the competitors?

INTERVIEWER · FRAMEWORK

"How would you structure this?"

CANDIDATE

Since it's the margin that fell, I'd look at four things. **Margin by product**: price and cost per unit for each line. **Product mix**: are we selling more of the lower-margin products? **Customers and competitors**: what rivals charge, and trends like lab-grown diamonds. And **input costs**: diamonds, metal and labor.

INTERVIEWER · HOW MUCH, AND WHY?

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Rings	30%	$2,300	$1,150	40%	$2,400	$1,200
Necklaces	30%	$1,800	$720	20%	$1,700	$680
Earrings	40%	$1,000	$650	40%	$1,200	$900

CANDIDATE

First, margin per product. Rings: 50% before and now. Necklaces: 60% before and now. Earrings: from 35% down to 25%. **Weighting by share of sales**, the overall margin was 47% and is now 42%, **down 5 points**. **Two causes**: earring margins fell, and the mix shifted from 60%-margin necklaces to 50%-margin rings.

INTERVIEWER · WHICH CAUSE MATTERS MORE?

"What share of the 5-point decline comes from earrings' margin, and what share from the product mix?"

CANDIDATE

I'll isolate each driver. If only the mix had changed, keeping earrings at 35%, the margin would be 46%: a 1-point drop, **20% of the decline**. If only earrings had changed, keeping the old mix, it would be 43%: 4 points, **80% of the decline**. **So earrings are the main problem.**

INTERVIEWER · WHY FEWER NECKLACES?

"Let's look at necklaces. Here's how we compare with competitors. What do you see?"

Exhibit 2. Necklace prices and sales

Company	Necklace price	Units sold
Diamond Co.	$1,700	500
Competitor A	$11,000	4,000
Competitor B	$600	10,000
Competitor C	$20,000	2,000
Competitor D	$300	30,000
Competitor E	$17,000	3,000
Competitor F	$500	25,000

CANDIDATE

Competitors fall into two clear groups: budget at $300 to $600, selling high volumes, and luxury at $11,000 to $20,000. **We're stuck in the middle at $1,700, where customers don't seem to buy.** We can't go budget, because our necklace costs $680, more than budget prices. **So the only viable move is up, into luxury.**

INTERVIEWER · GOING PREMIUM

"The team drafted a premium plan: price necklaces at $11,000, with better stones and design that raise the cost to $3,000 each. They expect to sell 300 a year. How does necklace profit compare with today?"

CANDIDATE

Today: 500 necklaces at a $1,020 profit each is **$510,000**. The plan: 300 at $8,000 profit each is **$2.4 million, almost five times more**, at a 73% margin. **The risk is credibility**: we'd need the brand, marketing and store experience to compete with luxury names.

INTERVIEWER · FIXING EARRINGS

"Now earrings, the bigger problem. Here's what happened to their costs and market. Why did the margin fall, and what should we do?"

Exhibit 3. Earring cost per unit

	Before	Now
Diamonds	$400	$550
Metal (gold, silver)	$150	$200
Labor	$100	$150
Total	**$650**	**$900**

Lab-grown diamond earrings sell for about **40% less** than natural ones, and their share of earring sales rose from **5% to 25%**.

CANDIDATE

Costs rose 38% while the price rose only 20%, and diamonds are the biggest increase. **The price can't keep up because lab-grown earrings are 40% cheaper and now a quarter of the market.** To fix it: **raise value** with premium designs, limited editions and marketing; **cut costs** by renegotiating metal, using smaller or different-grade stones, and improving mining efficiency. **And consider launching our own lab-grown line.**

INTERVIEWER · RECOMMENDATION

"The CEO wants a quick answer: why did profitability fall and what should we do?"

CANDIDATE

Profitability fell from 47% to 42% for two reasons: 80% comes from earring margins falling from 35% to 25%, and 20% from selling fewer high-margin necklaces. I recommend two actions. **One, reposition necklaces into the luxury band, around $11,000**, which could lift necklace profit from about $0.5 million to $2.4 million. **Two, restore earring margins** by cutting diamond and metal costs and considering a lab-grown line. **Next steps:** find the optimal necklace price, and review ring margins.

Score this case

Use the ticks above and the rubric. 3 = would pass.

Structure 1 2 3 4 5

Clear, tailored framework?

Math 1 2 3 4 5

Correct, clean, said out loud?

Business sense 1 2 3 4 5

Found the insight, said "so what"?

Communication 1 2 3 4 5

Answer-first, clear, confident?

Drive 1 2 3 4 5

Led the case; few hints needed?

Total: – / 25

2 STRENGTHS · 2 THINGS TO FIX

Strength: ... / Fix: ...

OPTIONAL WARM-UP, 5–10 MINUTES

Fit questions

Real interviews often start with 2–3 personal questions before the case. Ask one or two. Good answers last 1–2 minutes and tell a story.

Ask	A good answer...
"Tell me about yourself."	A 1–2 minute story, not a CV list: studies, 1–2 experiences, why consulting, one personal detail that makes them memorable.
"Why consulting?"	Specific reasons tied to their own experience (problem-solving, variety, learning). Shows they know what the job really is.
"Why our firm?"	Names something specific: people they've met, a program, values. Not just "prestige".
"Give me an example of leadership."	A real situation, what THEY did and why, the result, and what they learned. Admits a shortcoming.
"What are your three biggest weaknesses?"	Real weaknesses, not humble-brags, each with what they're doing to improve.
"Tell me about a time you challenged yourself."	A clear challenge, the steps they took, the outcome.
"Why should we give you an offer?"	2–3 confident reasons linked to what consultants actually do.
"Why aren't you working in the field of your major?"	A positive story about moving toward consulting, not running away from their major.

Red flags in fit answers

- Over 2 minutes long
- Sounds memorized word for word
- Lists facts from the CV with no story
- Can't say why consulting specifically